

Is the work AI does your cost, or your product?

That one question sorts most companies.

saro-saravanan.github.io/ai-workforce-sim

TWO AXES

Every company sits somewhere on both.

- How much of the cost base is exposed work
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- How much of revenue is exposed work

COST-EXPOSED, REVENUE-PROTECTED

Winners, for a while.

- Manufacturer with a big back office
 - Bank with floors of analysts
 - Hospital with claims and billing staff
 - Insurer · Logistics operator
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HOW LONG THE MARGIN LASTS

Depends on adoption speed and pass-through.

- Slow-adopting, regulated, fragmented sectors: years
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- Fast, transparent sectors: a few

REVENUE-EXPOSED

The losers.

- Call-centre outsourcer
- Translation agency
- Document-review law practice
- Preparation-heavy accounting
- Offshore IT services

HOW BAD IT GETS

Three things decide.

- Elastic demand: volume offsets part of the price fall
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- Inelastic demand: revenue simply shrinks
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- AI-made output accepted: pricing power gone

THE THIRD GROUP

AI-native entrants.

No legacy cost base, no integration bill. They take share from both.

WHAT THE MODEL CONTRIBUTES, BY SECTOR

A prior, not a valuation.

- Exposed share of labour cost
- When it pays to automate
- How far prices fall
- How demand responds
- Where the saving flows next

THE FIVE DILIGENCE QUESTIONS

I now ask them of every target.

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- Cost exposure vs revenue exposure
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- Is demand elastic?
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- Would the customer accept AI-made output?
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- Adoption speed and pass-through
-
- The entrant, and the offshore model

Which of the three is your company, or your target?

Compare notes

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